

Alpha Financial Markets Consulting Group Limited

Annual report and financial statements

Registered number 07160664

31 March 2020



Contents

Company information	1
Strategic report	2
Directors' report	3
Statement of Directors' responsibilities in respect of the Directors' report and the financial statements	4
Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited	5
Profit and loss account	7
Balance sheet	8
Statement of changes in equity	9
Notes	10

Company Information

Directors	ENB Fraser NS Curham B Lantorp JC Paton
Company number	07160664
Registered office	60 Gresham Street London EC2V 7BB
Auditor	KPMG LLP St Nicholas House 31 Park Row Nottingham NG1 6FQ
Banker	HSBC Bank UK 71 Queen Victoria Street London EC4V 4AY

Strategic report

Business review

The Company functions as an intermediate holding entity within the wider Alpha Financial Markets Consulting Plc group (the 'Group'). At 31 March 2020 the Company holds net assets of £8,478,000 (FY¹ 19: £9,165,000). The Company has transferred a profit of £6,500,000 (FY 19: £17,945,000) to retained earnings as a result of intercompany dividend income received from the Company's subsidiaries, offset by costs relating to the acquisition in the period of Obsidian Solutions Limited ('Obsidian').

Future developments

The Company is expected to continue to operate as an intermediate holding company for the Group. No other future developments are foreseen by the Directors at the balance sheet date.

Key performance indicators

Working capital management and the sufficiency of assets held across the Group is the primary indicator which is reviewed on a weekly basis to monitor cashflow, liquidity and the recovery of trade receivables.

Each month the Directors review the management accounts for each Group undertaking and compare actual performance against budget. Costs and utilisation are also reviewed to monitor profitability.

Principal risks and uncertainties

The performance of the Company in the short-term is subject to uncertainty arising from the macro-economic impact of the COVID-19 outbreak. However, as a holding company for the Group there is deemed to be a strong balance sheet and net assets position going into the outbreak. Management continue to operate conservative cash management policies, which have been supplemented by strategic decisions made by the wider Group to safeguard liquidity during the pandemic, including the delay of profit share payments to employees, and delays to all but essential recruitment processes in the short-term. The Group is supportive of the liquidity and financial position of the Company. The Directors are satisfied with performance for the year.

Risk Management and the impact of COVID-19

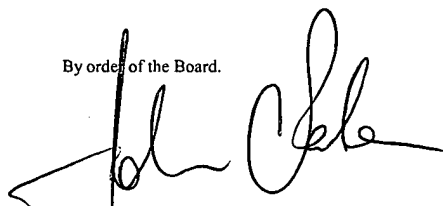
The Directors note that the World Health Organisation declared a pandemic relating to COVID-19 on 11 March 2020, and social distancing measures were introduced in the UK during March 2020. The Directors have therefore considered the impact of the pandemic on the Company's operations, with a focus primarily on the Company's going concern assessment, forward looking forecasts and recoverability of assets, including trade receivables and intercompany funding to other Group entities.

The Directors have taken mitigating actions designed to manage the risk and reflect the uncertainty associated with the pandemic and protect the balance sheet and maintain a strong liquidity position. Actions taken include the delay of profit share payments to employees, and delays to all but essential recruitment processes in the short-term.

Further, the Group has taken the decision not to pay a final dividend for the year ended 31 March 2020 in order to protect the Group's cash position in the short-term. The Group's revolving credit facility (RCF) has also been extended in June 2020 to provide additional liquidity headroom to the Group in light of uncertainty in the market in the short-term.

The Directors and the executive team continue to monitor the geopolitical developments surrounding the UK's decision to leave the European Union ("Brexit") closely. The Company has assessed that Brexit has not had a material direct impact on its ongoing growth and development of the business, given arrangements between the UK and EU countries, and its network of offices across Europe. The impact of Brexit on the business has been a short-term delay to client decision making, which is not expected to have any adverse effects over the medium term. The impact of Brexit has been overshadowed in recent months by the emergence of a major severe macro-economic crisis associated with COVID-19 as above. The Company is conscious that this position may change, and unexpected new challenges could arise that affect this risk assessment, including the broader impact that Brexit has on the UK economy as a whole.

By order of the Board.



John C Paton
Director
15 March 2021

¹ FY 20 is the financial year covering the 12 months to 31 March 2020. By comparison, FY 19 is the previous financial year covering the 12 months to 31 March 2019; and FY 21 is the subsequent financial year covering the 12 months to 31 March 2021.

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2020.

Principal activities

The principal activity of the Company is that of a holding company.

Results and dividend

The results for the year are set out in the attached profit and loss account.

An interim dividend payment totalling £7,187,000 was made to the Company's sole shareholder, Alpha FMC Group Limited (FY 19: £24,568,000), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. This dividend was facilitated in part by the receipt in the year of a dividend totalling £10,000,000 from the Company's directly owned subsidiary, Alpha Financial Markets Consulting UK Limited. The Directors have not recommended the payment of a final dividend (FY 19: £nil).

On 5 June 2019, the Company's ultimate parent company, Alpha Financial Markets Consulting Plc, acquired 100% of the share capital and voting interests of Axxsys Limited and subsidiaries. Axxsys has provided specialised management consultancy and technology implementation services to the investment management industry since 2003. The Company has recognised liabilities on behalf of the Group associated with the deferred consideration and earnout of this acquisition in the year ended 31 March 2020, as ownership of Axxsys Limited and subsidiaries has passed to the Company in FY 21.

In addition to Axxsys Limited, the Company acquired 100% of the issued share capital of Obsidian Solutions Limited on 9 November 2019. Obsidian provides specialised software products to the investment management industry.

For further information on the likely future developments of the business, please refer to the Strategic report.

Directors

The Directors who held office during the year were as follows:

ENB Fraser
NS Curham
B Lantorp
JC Paton

Political contributions

The Company made no political donations or incurred any political expenditure during the year.

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with the Company's customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

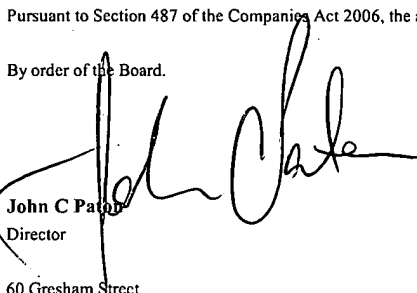
Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.


John C Paton
Director

60 Gresham Street
London EC2V 7BB

15 March 2021

Statement of Directors' responsibilities in respect of the Strategic report and the Directors' report and the financial statements

The Directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited

Opinion

We have audited the financial statements of Alpha Financial Markets Consulting Group Limited ("the Company") for the year ended 31 March 2020 which comprise the profit and loss account, balance sheet and statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2020 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 Reduced Disclosure Framework; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The Directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

We are required to report to you if we have concluded that the use of the going concern basis of accounting is inappropriate or there is an undisclosed material uncertainty that may cast significant doubt over the use of that basis for a period of at least a year from the date of approval of the financial statements. In our evaluation of the Directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period. We have nothing to report in these respects.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the absence of reference to a material uncertainty in this auditor's report is not a guarantee that the Company will continue in operation.

Strategic report and Directors' report

The Directors are responsible for the Strategic report and the Directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the Strategic report and the Directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the Strategic report and the Directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 4, the Directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited (continued)

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House
31 Park Row
Nottingham
NG1 6FQ

16 March 2021

Profit & loss account
for the year ended 31 March 2020

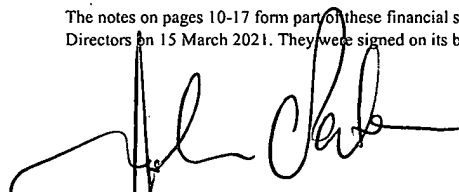
	Note	FY 20 £000	FY 19 £000
Administrative expenses	2	(2,549)	(298)
Operating loss		(2,549)	(298)
Interest payable and similar expenses		(951)	(22)
Income from shares in Group undertakings		10,000	18,265
Profit before taxation		6,500	17,945
Taxation	5	-	-
Profit for the financial year		6,500	17,945

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

Balance sheet
As at 31 March 2020

	Note	As at 31 March 2020 £000	As at 31 March 2019 £000
Non-current assets			
Goodwill	6	-	784
Investments	7	22,811	14,219
		<u>22,811</u>	<u>15,003</u>
Current assets			
Debtors	8	25,173	16,463
Cash at bank and in hand		136	146
		<u>25,309</u>	<u>16,609</u>
Current liabilities			
Creditors: amounts falling due within one year	9	(32,778)	(22,213)
		<u>(32,778)</u>	<u>(22,213)</u>
Net current liabilities		<u>(7,469)</u>	<u>(5,604)</u>
Total assets less current liabilities		<u>15,342</u>	<u>9,399</u>
Non-current liabilities			
Creditors: amounts falling due after one year	10	(6,864)	(234)
		<u>(6,864)</u>	<u>(234)</u>
Net assets		<u>8,478</u>	<u>9,165</u>
Capital and reserves			
Called up share capital	11	6,051	6,051
Share premium account	11	1,437	1,437
Capital contributions reserve		72	72
Other reserves		137	137
Profit and loss account		781	1,468
		<u>8,478</u>	<u>9,165</u>
Shareholders' funds		<u>8,478</u>	<u>9,165</u>

The notes on pages 10-17 form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 15 March 2021. They were signed on its behalf by:



John C Paton
Director

Company registered number: 07160664.

Statement of changes in equity

	Called up share capital	Share premium account	Capital contributions reserve	Other reserves	Profit and loss account	Total Shareholders' funds
	£000	£000	£000	£000	£000	£000
As at 1 April 2018	6,051	1,437	72	76	8,091	15,727
Total comprehensive income for the period						
Profit for the period	-	-	-	-	17,945	17,945
Transactions with owners						
Dividends	-	-	-	-	(24,568)	(24,568)
Consideration to be paid in equity	-	-	-	61	-	61
Balance at 31 March 2019	6,051	1,437	72	137	1,468	9,165
As at 1 April 2019	6,051	1,437	72	137	1,468	9,165
Total comprehensive income for the period						
Profit for the period	-	-	-	-	6,500	6,500
Transactions with owners						
Dividends	-	-	-	-	(7,187)	(7,187)
Consideration to be paid in equity	-	-	-	-	-	-
Balance at 31 March 2020	6,051	1,437	72	137	781	8,478

Notes

(forming part of the financial statements)

1 Accounting policies

Alpha Financial Markets Consulting Group Limited (the "Company") is a company limited by shares, domiciled and registered in the UK. The registered number is 07160664 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

The Company is exempt by virtue of Section 400 of the Companies Act 2006 from the requirement to prepare Group financial statements. These financial statements present information about the Company as an individual and not about its Group.

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards as adopted by the EU ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The Company's parent undertaking, Alpha Financial Markets Consulting Plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting Plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphafmc.com.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- disclosures in respect of transactions with wholly owned subsidiaries;
- disclosures in respect of capital management;
- the effects of new but not yet effective IFRSs;
- disclosures in respect of the compensation of Key Management Personnel; and
- disclosures of transactions with a management entity that provides key management personnel services to the Company.

As the consolidated financial statements of Alpha Financial Markets Consulting Plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share Based Payments in respect of Group settled share based payments; and
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities.
- Certain disclosures required by IFRS 3 Business Combinations in respect of business combinations undertaken by the Company.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

There are no judgements made by the Directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year.

1.1 Measurement convention

The financial statements are prepared on the historical cost basis.

1.2 Going concern

Notwithstanding net current liabilities of £7,469,000 as at 31 March 2020 the financial statements have been prepared on a going concern basis which the Directors consider to be appropriate for the following reasons.

The Directors have prepared cash flow forecasts for a period of 12 months from the date of approval of these financial statements which indicate that, taking account of reasonably possible downsides, the Company will have sufficient funds, through funding from its ultimate parent company, Alpha Financial Markets Consulting Plc, to meet its liabilities as they fall due for that period.

Those forecasts are dependent on Alpha Financial Markets Consulting Plc not seeking repayment of the amounts currently due to the group, which at 31 March 2020 amounted to £29,162,000, and providing additional financial support during that period. Alpha Financial Markets Consulting Plc has indicated its intention to continue to make available such funds as are needed by the Company, and that it does not intend to seek repayment of the amounts due at the balance sheet date, for the period covered by the forecasts. As with any company placing reliance on other group entities for financial support, the Directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so.

Consequently, the directors are confident that the Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

Impact of COVID - 19

The Directors note that the World Health Organisation declared a pandemic relating to COVID-19 on 11 March 2020, and social distancing measures were introduced in the UK during March 2020. Therefore, the Directors have considered the significance of the economic ramifications of the virus before the end of the Company's financial year and its potential effect on the financial statements for the year ended 31 March 2020. In particular, the Directors have assessed the impact of incorporating additional COVID-19 risk factors in applying downside sensitivities in the going concern assessment over a period of 12 months after the signing of these financial statements. The Directors have also considered the impact of the pandemic on the expected credit loss calculation on the Company's intercompany receivables.

The Company's forecasts and projections, taking into account reasonable estimate of a possible downturn in trading performance arising from the COVID-19 outbreak, show that the Company has sufficient financial resources to continue in operation for at least 12 months on the basis that other Group entities do not demand repayment of the Company's intercompany loans as disclosed above. The Company also has access to additional funding through other Group entities, via the Group's revolving credit facility and the strength of the Group's cash position at 31 March 2020. Accordingly, the Directors have adopted the going concern basis in preparing these financial statements.

Notes (continued)

1 Accounting policies (continued)

1.3 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss.

1.4 Financial instruments

The Company uses financial instruments comprising cash and cash equivalents, preference shares, loan notes and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Group's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment, impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impairment asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of the impairment to decrease, the decrease in impairment loss is reversed through statement of comprehensive income.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Group classifies all intercompany receivables that form a part of the normal trading cycle of the Group as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. This represents a change in accounting policy in the year. All balances were considered current in the comparative period.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2020, the Company had no such financial liabilities.

Other financial liabilities held by the Group are recognised at amortised cost.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost.

Other creditors

Other creditors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

Investments in subsidiaries

Investments in subsidiaries are carried at cost less impairment.

Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

1.5 Impairment

Financial assets (excluding trade and other debtors)

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

Notes (continued)

1 Accounting policies (continued)

1.5 Impairment (continued)

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Non-financial assets

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units and, then, to reduce the carrying amounts of other assets in the unit (or group of units) on a pro-rata basis.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.6 Provisions

A provision is recognised in the balance sheet when the Company has a present legal or constructive obligation as a result of a past event, that can be reliably measured and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects risks specific to the liability.

1.7 Taxation

Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

1.10 New accounting standards and interpretations

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- IFRS 16 Leases (IFRS 16); and
- IFRIC 23 Uncertainty over Income Tax Treatments (IFRIC 23)

The Directors reviewed the nature and effect that these new standards have had on the Company and do not believe that the impact is material. These standards have been adopted by the Company:

IFRS 16 – Leases (effective for periods commencing on or after 1 January 2019)

IFRS 16 Leases is effective for periods beginning on or after 1 January 2019 and is therefore applicable to the current period. This standard replaces accounting treatment for leases previously depicted in IAS 17. IFRS 16 introduced a single lessee accounting model whereby a lessee is required to recognise a right-of-use asset and a lease liability for all leases with a term of more than 12 months. The depreciation on the right-of-use asset will be accounted for separately from the interest expense incurred on the lease liability in the income statement.

There has been no impact in these financial statements from the implementation of IFRS 16, as the Company did not hold leases in the current or prior year.

Notes (continued)

1 Accounting policies (continued)

IFRIC 23 – Uncertainty Over Income Tax Treatments (effective for periods commencing on or after 1 January 2019)

The IFRIC 23 'Uncertainty Over Income Tax Treatments' interpretation is effective for accounting periods beginning on or after 1 January 2019 and provides further clarification on how to apply the recognition and measurement requirements in IAS 12 'Income Taxes'.

IFRIC 23 has not had a material impact on the financial statements for the year ended 31 March 2020.

There are no accounting standards that are not yet effective that would be expected to have a material impact on the Company in the current or next reporting periods.

2 Auditor's remuneration

Auditor's remuneration:

	FY 20 £000	FY 19 £000
Audit of these financial statements	2	2

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's ultimate parent, Alpha Financial Markets Consulting Plc.

3 Staff numbers and costs

The Company had no employees during the current or prior periods.

4 Directors' remuneration

The Directors of the Company are paid out of other entities within the Group. The Directors believe that the value of their services in respect of the Company, in both the current and prior periods, were negligible and therefore, have not been disclosed.

5 Taxation

Recognised in the profit and loss account

	FY 20 £000	£000	FY 19 £000	£000
<i>Current tax</i>				
Current tax on income for the period		-		-
Adjustments in respect of prior periods		-		-
Total current tax		-		-
<i>Deferred tax</i>				
Adjustments in respect of prior periods		-		-
		-		-
		-		-

Reconciliation of effective tax rate

	FY 20 £000	FY 19 £000
Profit for the year	6,500	17,945
Total tax expense	-	-
Profit excluding taxation	6,500	17,945
Tax using the UK corporation tax rate of 19% (FY 19: 19%)	1,235	3,410
Income not taxable for tax purposes	(1,940)	(3,470)
Non-deductible expenses	705	56
Deferred tax not recognised	-	(1)
Group relief surrendered	-	5
Total tax expense	-	-

The UK corporation tax rate legislation announced is set to hold the corporation tax rate at 19% for the 2019/20 and 2020/21 tax years. This rate has been reflected in the calculation of deferred tax for the year ended 31 March 2020.

Notes (continued)

6 Goodwill

	FY 20	FY 19
	£000	£000
Goodwill	-	784

The Company has reclassified the Goodwill balance held in the prior year to investments in the current period. Refer to note 7 for further details.

7 Fixed asset investments

	Shares in Group undertakings £000
Cost	
At 1 April 2018	14,219
Additions	-
Disposals	-
At 31 March 2019	14,219
Additions	8,592
Disposals	-
At 31 March 2020	22,811

The Company's fixed asset investments are all in relation to investments in subsidiaries. The Company holds no tangible fixed assets.

Additions during the period relate to the acquisition by the Company of 100% of the share capital of Obsidian Solutions Limited, amounting to an investment of £7.8m. At the acquisition date the fair value of total consideration transferred or transferable was £15.3m, of which £4.2m relates to base consideration payable at the acquisition date, with an additional £1.8m of deferred consideration payable in FY 21, and contingent consideration with a fair value of £9.3m at the acquisition date. The fair value of contingent consideration is subject to review at each reporting period.

Further the Company has reclassified an amount previously held as Goodwill to investments in the current period relating to the historic acquisition of a now dissolved subsidiary. In a prior year, Goodwill was transferred to the Company, equal to the fair value of the trade and net asset of the subsidiary at the time of acquisition. This amount was previously classified as Goodwill, however in the current period the Directors consider that this amount should more appropriately be included as an investment in subsidiary undertakings as the service offering of the dissolved subsidiary was fully integrated, and is currently trading as a well established practice in the Group.

Subsidiary undertakings	Country of Incorporation	Registered address	Principal activity	Class and percentage of shares held - 31 March 2020	Class and percentage of shares held - 31 March 2019
Alpha Financial Markets Consulting UK Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Technology Services Consulting Limited	UK	1	Dormant	100% ordinary	100% ordinary
Alpha Data Solutions Limited	UK	1	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Inc.	USA	2	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting S.A.S.	France	3	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting S.A.	Luxembourg	4	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Netherlands B.V.	Netherlands	5	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Switzerland S.A.	Switzerland	6	Consultancy services	100% ordinary	100% ordinary
Track Two GmbH	Germany	7	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Singapore Pte. Limited	Singapore	8	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Hong Kong Limited	Hong Kong	9	Consultancy services	100% ordinary	100% ordinary
Alpha Financial Markets Consulting Australia PTY Limited	Australia	10	Consultancy services	100% ordinary	100% ordinary
Obsidian Solutions Limited	UK	1	Consultancy services	100% ordinary	n/a
Alpha Technology Services Consulting S.A.S	France	3	Consultancy services	100% ordinary	n/a
Obsidian Alpha Data Solutions LLC	Serbia	11	Consultancy services	100% ordinary	n/a

Notes (continued)

7 Fixed asset investments (continued)

Notes:

1. 60 Gresham Street, London, EC2V 7BB
2. 575 Fifth Avenue, New York, NY 10017, USA
3. 6 Square de L'Opera Louis Jouvett, 75008 Paris, France
4. 19/21 route d'Arlon - bloc B, L-8009 Strassen, Luxembourg
5. Spacces Zuidas, Barbara Strozziilaan 101, 1083 HN, Amsterdam, The Netherlands
6. Bleicherweg 10, 8002 Zurich, Switzerland
7. Mergenthalerallee 73-75, 65760 Eschborn, Germany
8. 3A Conway Circle, Singapore 558288
9. 22/F., Neich Tower, 128 Gloucester Road, Wanchai, Hong Kong
10. 383-385 George Street, Sydney NSW 2000
11. Belgrade, Serbia at Bulevar kralja Aleksandra no.52

Subsidiary undertakings	Share capital and reserves £'000	Profit/(loss) for the period £000
Alpha Financial Markets Consulting UK Limited	19,170	10,101
Alpha Technology Services Consulting Limited	-	-
Alpha Data Solutions Limited	(1,081)	(874)
Alpha Financial Markets Consulting Inc.	838	2,210
Alpha Financial Markets Consulting S.A.S.	7,701	1,175
Alpha Financial Markets Consulting S.A.	1,550	460
Alpha Financial Markets Consulting Netherlands B.V.	(403)	(69)
Alpha Financial Markets Consulting Switzerland S.A.	(47)	(40)
Track Two GmbH	(365)	58
Alpha Financial Markets Consulting Singapore Pte. Limited	1,068	231
Alpha Financial Markets Consulting Hong Kong Limited	(12)	(9)
Alpha Financial Markets Consulting Australia PTY Limited	24	26
Obsidian Solutions Limited	356	(95)
Alpha Technology Services Consulting S.A.S	44	-
Obsidian Alpha Data Solutions LLC	-	-

8 Debtors

	FY 20 £000	FY 19 £000
Amounts owed by Group undertakings	25,173	16,463
	<u>25,173</u>	<u>16,463</u>

Amounts owed by Group undertakings are interest free and are repayable on demand.

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit loss in relation to amounts owed by Group undertakings was immaterial in both the current and prior year.

9 Creditors: amounts falling due within one year

	FY 20 £000	FY 19 £000
Amounts owed to Group undertakings	29,162	21,978
Other creditors	3,616	235
	<u>32,778</u>	<u>22,213</u>

Amounts owed to Group undertakings are either interest-bearing or non interest-bearing depending on the type of the creditor relationship and are repayable on demand.

Other creditors falling due within one year comprise contingent and non-contingent liabilities relating to the Group's acquisition of 100% of the share capital of Axxsys Consulting Limited and its subsidiaries ('Axxsys') and Obsidian Solutions Limited ('Obsidian') in the period. Axxsys is a direct legal subsidiary to the Company's ultimate parent company Alpha Financial Markets Consulting Plc, but the Axxsys acquisition liability is charged to the Company to align with the wider Group structure and in line with the intention to transfer ownership in Axxsys to the Company in FY 21. Refer to note 13 for further detail.

Notes (continued)

10 Creditors: amounts falling due after more than one year

	FY 20	FY 19
	£000	£000
Other creditors	6,864	234
	<u>6,864</u>	<u>234</u>

Other creditors falling due after more than one year comprise contingent and non-contingent liabilities relating to the Group's acquisition of 100% of the share capital of Axxsys Consulting Limited and its subsidiaries ('Axxsys') and Obsidian Solutions Limited ('Obsidian') in the period. Axxsys is a direct legal subsidiary to the Company's ultimate parent company Alpha Financial Markets Consulting Plc, but the Axxsys acquisition liability is charged to the Company to align with the wider Group structure and in line with the intention to transfer ownership in Axxsys to the Company in FY 21. Refer to note 13 for further detail.

11 Capital and reserves

Share capital

	FY 20	FY 19
	£000	£000
<i>Allotted, called up and fully paid</i>		
328,243 ordinary 'A' shares of 10p each	33	33
5,970,623 ordinary 'B' shares of £1 each	5,971	5,971
3,788 ordinary 'C' shares of £3.10 each	12	12
82,413 ordinary 'ANV' shares of 10p each	8	8
1,685 ordinary 'E' shares of 1p each	-	-
100,000 ordinary 'Lux' shares of 10p each	10	10
250,000 ordinary 'USA' shares of \$0.10 each	15	15
24,450 ordinary 'UK' shares of 10p each	2	2
	<u>6,051</u>	<u>6,051</u>
Shares classified in shareholders' funds	<u>6,051</u>	<u>6,051</u>
	<u>6,051</u>	<u>6,051</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Share premium account

The balance classified as share premium as at 31 March 2020 and 31 March 2019 of £1,437,000 relates to the aggregate net proceeds less nominal value of shares on issue of the Company's equity share capital.

Dividends

One interim dividend payment totalling £7,187,000 was made to the Company's sole shareholder, Alpha FMC Group Limited (FY 19: £24,568,000), both to facilitate the payments of the FY 20 Group dividends made by the Company's ultimate parent, Alpha Financial Markets Consulting Plc, to its shareholders. This dividend was facilitated in part by the receipt in the year of dividends totalling £10,000,000 from the Company's directly owned subsidiary, Alpha Financial Markets Consulting UK Limited. The Directors have not recommended the payment of a final dividend (FY 19: £nil).

12 Related parties

Identity of related parties with which the Company has transacted

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS 101.

13 Events after the reporting period

The Directors consider that the outbreak of COVID-19 globally represents an adjusting event at the balance sheet date on the basis that the significance of the social and economic impact was apparent at that date. The Group has therefore considered all conditions up to the date of issuance of the financial statements as adjusting events. As disclosed in note 1, the impact of COVID-19 has been assessed in relation to: impairment of fixed asset investments, and the expected credit loss on intercompany receivables.

Subsequent to the balance sheet date, on 25 February 2021, the Company has completed the transfer of ownership of 100% of the share capital of Axxsys Limited from the Company's ultimate parent entity, Alpha Financial Markets Consulting Plc. Ownership has been transferred at consideration of £8,730,448, which represents carrying value of the investment held by the Company's ultimate parent entity at the transfer date of the Axxsys Limited shares, including £800k of cash acquired on initial acquisition of Axxsys by Alpha Financial Markets Consulting Plc on 5 June 2019. There is therefore no gain or loss for either entity attributable to the transfer of share ownership.

The Directors note that it was always the intention of the Company to transfer ownership of shares and as a result the associated liabilities for deferred consideration and earn-out payments are already included on the balance sheet of the Company, as disclosed in notes 9 and 10.

Notes (continued)

14 Ultimate parent company and parent company of larger Group

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting Plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphafmc.com.